_____________ BILL NO. _____________

INTRODUCED BY ____

A BILL FOR AN ACT ENTITLED: “AN ACT REPEALING THE CONTRACTOR'S GROSS RECEIPTS TAX; PROVIDING A TRANSITION SECTION TO ALLOW RECOVERY OF UNUSED CREDITS BY CERTAIN CONTRACTORS; PROVIDING RULEMAKING AUTHORITY; AMENDING SECTION 15-30-2303, MCA; REPEALING SECTIONS 15-50-101, 15-50-205, 15-50-206, 15-50-207, 15-50-301, 15-50-304, 15-50-307, 15-50-308, 15-50-309, 15-50-310, AND 15-50-311, MCA; AND PROVIDING A DELAYED EFFECTIVE DATE AND AN APPLICABILITY DATE.”

BE IT ENACTED BY THE LEGISLATURE OF THE STATE OF MONTANA:

Section 1. Section 15-30-2303, MCA, is amended to read:

"**15-30-2303. Tax credits subject to review by interim committee.** (1) The following tax credits must be reviewed during the biennium commencing July 1, 2021, and during each biennium commencing 8 years thereafter:

(a) the credit for donations to innovative educational programs provided for in 15-30-2334, 15-30-3110, and 15-31-158;

(b) the credit for donations to a student scholarship organization provided for in 15-30-2335, 15-30-3111, and 15-31-159; and

(c) the adoption tax credit provided for in 15-30-2321.

(2) The following tax credits must be reviewed during the biennium commencing July 1, 2023, and during each biennium commencing 8 years thereafter:

(a) the credit for infrastructure use fees provided for in 17-6-316;

(b) the credit for contributions to a qualified endowment provided for in 15-30-2327 through 15-30-2329, 15-31-161, and 15-31-162;

(c) the credit for property to recycle or manufacture using recycled material provided for in Title 15, chapter 32, part 6; and

(d) the credit for preservation of historic buildings provided for in 15-30-2342 and 15-31-151.

(3) The following tax credits must be reviewed during the biennium commencing July 1, 2025, and during each biennium commencing 8 years thereafter:

(a) the residential property tax credit for the elderly provided for in 15-30-2337 through 15-30-2341;

(b) the credit for unlocking state lands provided for in 15-30-2380;

(c) the job growth incentive tax credit provided for in 15-30-2361 and 15-31-175; and

(d) the credit for trades education and training provided for in 15-30-2359 and 15-31-174.

(4) The following tax credits must be reviewed during the biennium commencing July 1, 2027, and during each biennium commencing 8 years thereafter:

(a) the credit for hiring a registered apprentice or veteran apprentice provided for in 15-30-2357 and 15-31-173;

(b) the earned income tax credit provided for in 15-30-2318; and

(c) the media production and postproduction credits provided for in 15-31-1007 and 15-31-1009~~;~~ ~~and~~

~~(d) the credit for contractor's gross receipts provided for in 15-50-207~~.

(5) The revenue interim committee shall review the tax credits scheduled for review and make recommendations in accordance with 5-11-210 at the conclusion of the full review to the legislature about whether to eliminate or revise the credits. The committee shall also review any tax credit with an expiration date or termination date that is not listed in this section in the biennium before the credit is scheduled to expire or terminate.

(6) The revenue interim committee shall review the credits using the following criteria:

(a) whether the credit changes taxpayer decisions, including whether the credit rewards decisions that may have been made regardless of the existence of the tax credit;

(b) to what extent the credit benefits some taxpayers at the expense of other taxpayers;

(c) whether the credit has out-of-state beneficiaries;

(d) the timing of costs and benefits of the credit and how long the credit is effective;

(e) any adverse impacts of the credit or its elimination and whether the benefits of continuance or elimination outweigh adverse impacts; and

(f) the extent to which benefits of the credit affect the larger economy. (Subsection (3)(c) terminates December 31, 2028--sec. 4, Ch. 391, L. 2023; subsection (3)(d) terminates December 31, 2028--sec. 2, Ch. 576, L. 2023; subsection (1)(c) terminates December 31, 2031--sec. 6, Ch. 493, L. 2023.)"

NEW SECTION. **Section 2. Repealer.** The following sections of the Montana Code Annotated are repealed:

15-50-101. Definitions.

15-50-205. Tax imposed on gross receipts from public contracts.

15-50-206. Withholding license fee from payments -- refunds.

15-50-207. Credit against other taxes -- credit for personal property taxes and certain fees.

15-50-301. Rules for contractor's return.

15-50-304. Statute of limitations.

15-50-307. Inspection of books of contractor.

15-50-308. Estimation of tax upon failure to file statement or pay tax -- penalty and interest -- notice.

15-50-309. Penalty and interest for delinquency -- waiver.

15-50-310. Warrant for distraint.

15-50-311. Disposal of license taxes.

NEW SECTION. **Section 3. Transition -- rulemaking.** (1) Any additional license fees withheld or otherwise paid prior to the repeal of the contractor's gross receipts tax may be used as a credit in the same manner as provided in the former 15-50-207.

(2) The department may enact rules to permit the recovery of credits that would otherwise be impacted by the repeal of the contractor's gross receipts tax.

NEW SECTION. **Section 4. Saving clause.** [This act] does not affect rights and duties that matured, penalties that were incurred, or proceedings that were begun before [the effective date of this act].

NEW SECTION. **Section 5. Effective date.** [This act] is effective January 1, 2026.

NEW SECTION. **Section 6. Applicability.** [This act] applies to tax years beginning after December 31, 2025.

- END -